

CHAROTAR UNIVERSITY OF SCIENCE & TECHNOLOGY (CHARUSAT)

Master of Business Administration (MBA)

Post Graduate Diploma in Management (PGDM)

Semester –IV University Examination – May - 2019

MB836.3 Human Resource Information System

15/05/2019, Wednesday

Time: 01:30 PM to 04:30 PM

Maximum Marks: 70

Instructions:

1. This paper contains six questions, of which the last one is a case analysis.
2. This is a closed book examination.
3. All the questions are compulsory.
4. Each of the first five questions will carry 10 marks and the last case analysis will carry 20.

- Q-1** Upon a successful implementation of HRIS, how will the role of HR be in the future? How will it be different from today? What competencies will be needed by HR professionals? **10**

Case # 1

Read the below given case carefully and answer the questions given at the end: (Q. No.: 2 -4)

A billion dollar retailer with 4,000+ stores finds that it cannot move fast enough to beat the competition. The organization's senior management arrives at the conclusion that it would be easier to achieve the strategic goals enumerated by the board of directors if the various organizational functions would share information. Shared information would enable them to develop and deploy new actions and tactics more quickly. The CEO and the President have therefore ordered the major functions to immediately update their information systems so that data sharing is possible.

The senior vice presidents (SVP) of accounting and human resource immediately decide that the only solution is to jointly decide on an ERP product. ERP software applications are a set of integrated database applications, or modules, that carry out the most common business functions, including human resources, general ledger, accounts payable, accounts receivable, order management, inventory control, and customer relationship management.

To speed the installation along, they will install it using a rapid implementation methodology that a company down the street used. The goal is to have the new systems operational in 9 months. Shortly after this decision has been made, the SVP of HR calls you into his office and tells you that you will be management sponsor for this project. You have to decide on everything.

You sit back in your nice office and think, what's the problem with this scenario? It shouldn't be difficult to select a vendor and then borrow the methodology from down the street. It worked for them, it should work for us! We'll call a few vendors in the morning and find out about cost, time frame, and implementation methods. In the meantime, I should find out a little more about how to do this and who will be using it. I remember from my information systems class in college that this is a reasonable first step when it comes to buying software.

After some discussions with department heads from all the departments in the organization, you realize that there are a large number of people (stakeholders) who will be affected by the new systems. Furthermore, you come to realize how important HR data really are to these stakeholders.

- Q-2** Identify some of the customers who would be logical members of the implementation team and explain why. **10**
- Q-3** Think through an HR process and sketch out what data are necessary to complete your sample process well. How much history does the organization need to convert to continue functioning? **10**
- Q-4** Pick one area of the HR function (e.g., recruiting), and make a list of processes that needs to be mapped and possibly reengineered during the implementation. **10**

Case #2

Read the below given case carefully and answer the questions given at the end: (Q. No.: 5 and 6)

Background

A global energy company incorporated in the United States has approximately 54,000 employees in more than 180 countries. The U.S.-based human resource information system (HRIS) currently houses approximately 20,000 employee records and tracks both bi-monthly and bi-weekly payrolls. The system also tracks employees who are represented by a variety of unions. The U.S.-based HRIS is owned and operated by the HR functional group but supported by a different HR group within the information technology (IT) department. The IT support group has approximately 140 employees and contractors. The HR IT support manager reports to the IT support manager with a dotted line to the global HR manager. There are plans to integrate the European division's HRIS into the U.S.-based HRIS. The European division's HRIS houses approximately 1,000 employee records and one union representing a small percentage of the 1,000 employees. The European HRIS is owned and supported by the HR group whose manager reports to the global HR manager.

At the same time of the HRIS integration, a merger has caused changes to the existing U.S.-based HRIS. In addition, another part of the company is about to bring in 88 countries into the U.S.-based enterprise resource planning (ERP) system, including the HR portion. The integrations have different timelines for completion, and coordination is critical so that changes that affect each of the integrations do not create problems that affect the current production system.

Description of Project Team

The HR department in London owns and supports the European HRIS for the portion of the company that will be integrated into the U.S. HRIS. Their current system lacks proper controls and received an unsatisfactory internal audit. It was determined that the system would require extensive changes and that it would be more cost effective to replace the system than to make the changes. The London-based HR office selected an HRIS implementation partner, Limited Experience, Inc., to facilitate the integration. The firm has no knowledge of the U.S.-based system and has relatively little experience with integrating part of an HRIS into an already existing system. The London-based HR office has provided the project manager for the integration, Frankie. Frankie has knowledge of the European HRIS but no experience with IT projects and the current U.S.-based HRIS. Limited Experience, Inc. has provided a co-project manager, Pat. Pat has never led a project of this size nor does Pat have knowledge of the U.S. system or how current HR projects would affect their project. In the end, Frankie and Pat ended up being co-project managers, though Frankie was more of the lead.

Lyn was also hired by the London office to be the technical team lead. Lyn has no experience as a technical team lead on an IT project that uses this HRIS software and does not know the culture of the London-based group or the U.S.-based group. Lyn comes from an organization where it is acceptable to yell at employees who do not meet expectations. This is not the culture for the HR organization in either London or the United States. Lyn also has no experience with the U.S. software or the U.S. technical team's processes.

A U.S.-based senior design analyst, Jamie, was added to the team on a consultation basis. Jamie travels between London and the United States, spending approximately 50 percent of the time in each location. Jamie has led similar projects, is familiar with other concurrent HR projects and is knowledgeable about the production support processes. Jamie has no knowledge of the London-based HRIS. Jamie's responsibility is to inform the project and HR leadership of any design issues that may cause concerns with the current production system or the concurrent projects. The project team consists of people from various HR groups within Europe. None of these team members have previous HR IT project experience. There are also people from the

project implementation partner company on the team.

Challenges of Integration

For one of the first steps of the project, the team documented the current HR processes and systems. As the team went through each process, the team member assigned to that particular area would describe and chart the current processes and the differences between the European and U.S. processes. After this documentation was completed, the project team invited subject matter experts (SMEs) to meetings lasting from half a day to three days to discuss the current processes and the effects of changing from the European processes to the U.S. processes. The U.S. senior design analyst attended as many of these meetings as possible to ensure that the project team understood the current processes. However, the design analyst would often need to ask someone from the U.S. support team to clarify specific details. Because of the time difference between the London and U.S. teams, this often involved at least a one-day delay.

When certain processes—such as reporting, payroll and interfaces—were analyzed or discussed, the senior design analyst encouraged that these areas be reviewed. These areas were not reviewed in an appropriate manner because the project team manager (Frankie) and co-manager (Pat) were adamant that these areas didn't need to be reviewed at the time. They said that reporting would be reviewed at each of the various SMEs meetings and that payroll was being outsourced and did not need to be reviewed at the project-team level.

It was discovered much later in the project that reporting should have been analyzed earlier; much of the reporting is based on management needs and does not necessarily need to be created for a particular area. Also, many of the codes that were used for reporting were not appropriate or consistent. For example, the U.S. Equal Employment Opportunity report with the designation of African American was not relevant for European employees. Also, employees on family leave are designated as “on leave” for U.S. reporting, while European reporting requires they be designated as “active,” per HR Revenue and Customs (previously called the Inland Revenue Office).

It was also later discovered that the payroll process should have been analyzed. Master data was collected in the HRIS, and certain fields had to be sent to an outsourced company. The data needed to be interfaced back to the financial system for reporting requirements. In addition, audit and control requirements necessitated that additional payroll data be interfaced back to the new integrated HRIS. Also, the confidentiality of the payroll data required that specific encryption software be used. The outsourced company had never used the encryption software used in the U.S. system. At the end of the project, the outsourced company realized it had to obtain the encryption software, train their technical team to use it and design a process that would meet the U.S. technical team's standards. This required some project team members to travel to the United States to work with the U.S. network support team. As the project team progressed from documenting current processes and the effect of using U.S. processes, a methodology was created to determine what new coding would be acceptable for the global integration. If the project team leaders, the senior design analyst (with agreement from concurrent project team leaders) and the HR production support manager agreed on the new process, the coding or technical decision was implemented. If there was no consensus, project team leaders and the senior design analyst would present options to the global HR manager and the HR IT support manager. The issues were often technical and complex. The project team would schedule meetings at times when the senior design analyst was unable to attend and then present the issue in a way that their preferred outcome would be approved. In many cases, the decisions turned out to be unworkable and were reversed, causing additional delays.

One of the most difficult decisions during the integration was determining if a change was a legal requirement. SMEs would often say that the current process was required by law, but when they were asked to provide the actual law, it turned out that it was not a legal requirement but a preferred solution by current managers or employees. Some U.S. processes also thought

to be legal requirements turned out not to be the case.

When the online interface for the HRIS was being designed, various issues arose. One issue was language. At the start of the project, it was thought that language would not be an issue because both groups spoke and wrote English. However, the spelling of many words was different, such as “center” or “centre” and sometimes different terms were used for the same meaning. It was decided to use U.S. English, a decision that was not popular with the project team.

Another challenge of the online interface for the HRIS was to decide which data could be changed online by employees. When a U.S. employee wanted to change an address, he or she could not change that information online because it may involve benefits changes. For example, if an employee moved from California to Texas, her current health care provider may not be available in Texas, requiring the employee to coordinate the address change with a medical plan choice. In addition, some address changes needed to allow for a new home address for tax purposes (versus a work address for a tax location) in the system. For example, if an Atlanta, Georgia, employee moved to Aiken, South Carolina, so that his home address was in South Carolina and his work address was in Georgia, this tax combination may not be in the system, requiring a system change that would need to be created, tested and moved to production before the address change could be made. In Europe, however, address changes did not affect benefits or tax data.

As the project team moved to the coding and testing phases of the project, it became apparent that having only one U.S. representative on the team was not sufficient. Many decisions required involving multiple members of the current production support team. After various members met together, one person or a few people created the changes in the test system and tested the procedure. It would often take many tries before a successful test. By the end of the project, most of the London team spent two to four weeks in the United States to resolve issues that couldn’t be resolved with team members “across the pond.” When the system went live, the current U.S. production support team sent a team to London to help resolve issues that arose during the first two weeks of implementation. They had not met the entire project team or most of the SMEs located in London. During the time they spent in London, members of the U.S. production support team tried to quickly resolve production issues from the implementation, worked with new people and adjusted to the time difference. They also had to coordinate times to meet with their U.S.-based counterparts. Because of the time difference, these meetings often occurred during the U.S.-based team’s off hours.

- Q-5** List down the major and minor issues that affect the time, cost and scope of the project? **10**
- Q-6**
- (a)** Present the impact (*if any*) of cultural issues that affect the project especially HR and IT aspects. **10**
- (b)** List down some of your own “*lessons learned*”, that affect future projects? **10**